CASCADIA ANALYTICS

Sea Limited

Equity Research Note | SE | 22 OCTOBER 2026

One ecosystem, three compounding engines

Sea Limited screens as a Hold with a $84.41 blended target, 13% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$74.63	$84.41	+13%	HOLD

Investment Thesis

One ecosystem, three compounding engines. Shopee commerce, Monee financial services, and Garena gaming share one user base across Southeast Asia, Taiwan, and Brazil. Commerce traffic feeds payments and credit, credit deepens commerce conversion, and Garena cash flow funds the build-out. Q2 2026 showed the flywheel at full speed with group revenue up 48.1% year on year to $7.79B [6-K]. Monetization, not just volume. Core marketplace revenue grew 48.9% in Q2 2026 against GMV growth of 28.4%, which means the take

- One ecosystem, three compounding engines
- Monetization, not just volume
- Credit is the swing factor

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The latest print

Monetization, not just volume. Core marketplace revenue grew 48.9% in Q2 2026 against GMV growth of 28.4%, which means the take rate is expanding through advertising, logistics, and value-added services rather than relying on order volume alone.

Credit is the swing factor. Monee loans outstanding reached $11.1B, up 62.5% year on year, with the 90+ day NPL ratio held at 1.0%. That book is the largest single source of upside and the largest single source of tail risk in the equity story.

$7.79B	$38.3B	$11.1B	1.0%	$763.5M	$27.72B
REVENUE (Q2 '26)	SHOPEE GMV (Q2 '26)	MONEE LOANS OUTSTANDING	90+ DAY NPL RATIO	GARENA BOOKINGS (Q2 '26)	TTM REVENUE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 '26)	$7.79B	+48.1%	Up
Shopee GMV (Q2 '26)	$38.3B	+28.4%	Up
Monee Loans Outstanding	$11.1B	+62.5%	Up
90+ Day NPL Ratio	1.0%	Held stable	Flat
Garena Bookings (Q2 '26)	$763.5M	+15.5%	Up
TTM Revenue	$27.72B	FY2025 $22.94B	Up
Net Cash	$6.88B	Cash and ST investments $9.10B	Up

The moat

Shopee GMV of $38.3B in Q2 2026, up 28.4%, with gross orders up 27.5% to 4.2B

The growth engine

Monee revenue up 58.9% to $1.4B in Q2 2026 on a loan book of $11.1B

Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

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SCENARIO	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	10.0%	$46.56B	11.0%	**$48.20**	-35%
Base	16.0%	$57.58B	14.5%	**$79.81**	+7%
Bull	22.0%	$70.45B	17.5%	**$129.84**	+74%

Bear: downside case at $48.20 (-35%).

Base: central case at $79.81 (+7%).

Bull: upside case at $129.84 (+74%).

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The probability-blended target implies 13% upside

The blended target implies +13% from the $74.63 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

$84.41
BLENDED TARGET

The valuation uses a multi-year discounted cash flow framework across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix above states what each scenario assumes in growth and margin terms and what it produces: horizon revenue, enterprise value, equity value and the per-share target.

We judge a scenario by whether its growth and margin posture is supported by the filed record and the company's own guidance, and we disclose below how much of each scenario's value sits in the terminal year, because that share is where the valuation risk concentrates.

Reference price	**$74.63**
Bear target	**$48.20**
Base target	**$79.81**
Bull target	**$129.84**
Blended target	**$84.41**
Terminal value share of Base enterprise value	**82.1%**

HOLD | $84.41 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

The market-implied revenue CAGR is 11.0%, between Bear (10%) and Base (16%), a cautious read.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$16.7B	$36.94	+10%	$39.8B	$73.07
-9%	$17.5B	$38.17	**+11%**	**$41.4B**	**$75.65**
-8%	$18.3B	$39.45	+12%	$43.1B	$78.32
-7%	$19.1B	$40.78	+13%	$44.9B	$81.08
-6%	$20.0B	$42.17	+14%	$46.7B	$83.93
-5%	$21.0B	$43.61	+15%	$48.6B	$86.88
-4%	$21.9B	$45.10	+16%	$50.5B	$89.93
-3%	$22.9B	$46.66	+17%	$52.5B	$93.08
-2%	$23.9B	$48.28	+18%	$54.6B	$96.34
-1%	$25.0B	$49.96	+19%	$56.7B	$99.70
+0%	$26.1B	$51.70	+20%	$59.0B	$103.16
+1%	$27.3B	$53.51			
+2%	$28.5B	$55.38			
+3%	$29.7B	$57.33			
+4%	$31.0B	$59.35			
+5%	$32.3B	$61.44			
+6%	$33.7B	$63.60			
+7%	$35.1B	$65.85			
+8%	$36.6B	$68.18			
+9%	$38.2B	$70.58			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$23.88B	$6.88B	$30.76B	**$48.20**
Base	$44.05B	$6.88B	$50.93B	**$79.81**
Bull	$75.99B	$6.88B	$82.87B	**$129.84**

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Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 82.1% of Base enterprise value (Bear 76.2%, Bull 86.1%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$48.20	$53.36	$58.38	$62.57	$66.68	$70.61
Base	$79.81	$87.41	$95.42	$102.78	$109.68	$115.75
Bull	$129.84	$140.70	$152.80	$164.50	$175.39	$184.67

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $84.41 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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The SOTP cross-check: $175.42 per share

We cross-check the DCF against a sum-of-the-parts view of Sea's three businesses, because they compound at different rates and carry different margin profiles. The Base case is shown.

Segments in the cross-check

Shopee (E-Commerce), SeaMoney / Monee (Digital Financial Services), Garena (Digital Entertainment).

Shopee (E-Commerce) is the largest contributor to the SOTP value, followed by SeaMoney / Monee (Digital Financial Services) and Garena (Digital Entertainment).

Against the DCF: the SOTP cross-check value of $175.42 per share versus the DCF Base target of $79.81, a difference of $95.61 (+119.8%).

Methodology note. The sum-of-the-parts view is a cross-check on the DCF scenarios. Segment-level build detail is not published; the per-share conclusion and its relationship to the DCF Base target are what we rely on.

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Agency risk score 70 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 26.07% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $394.43M of sales, a net flow of -$394.43M. One-year total shareholder return is -51.8% against CEO total pay of $0 (Mr. Xiaodong Li), which the model scores as EXEMPLARY ALIGNMENT.

70
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	40 / 40	26.07% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $0 (0) vs sales $394.43M (97), net -$394.43M, trailing six months
Pay-for-Performance	30 / 30	EXEMPLARY ALIGNMENT: Founder Mode / Low Base Draw. 1Y TSR -51.8%; Mr. Xiaodong Li, Founder, Chairman & CEO, total pay $0
Agency Risk Score	**70 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-19	Hou Tianyu	Chief Financial Officer	SELL	10,000	$890.3K
2026-10-01	Zhao Feng	Officer	SELL	40,000	$3.80M
2026-09-22	Chen Jingye David	Officer	SELL	60,000	$6.17M
2026-09-18	Ye Gang	Chief Operating Officer	SELL	40,000	$4.08M
2026-09-18	Chen Jingye David	Officer	SELL	60,000	$6.09M
2026-09-17	Hou Tianyu	Chief Financial Officer	SELL	15,000	$1.52M
2026-09-16	Ye Gang	Chief Operating Officer	SELL	40,000	$4.16M
2026-09-16	Chen Jingye David	Officer	SELL	60,000	$6.24M

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker (foreign private issuers file no DEF 14A), so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 24 October 2026 for this note.

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The bear case

Credit Cycle in the Loan Book

Loans outstanding grew 62.5% year on year to $11.1B. The 90+ day NPL ratio held at 1.0% in benign conditions, and the book has not been tested by a regional downturn. Provisions already scale with growth and would rise sharply if unemployment or FX stress hits Indonesia or Brazil borrowers.

EBITDA Margin Compression

Group adjusted EBITDA margin compressed to 11.8% in Q2 2026 from 15.8% a year earlier as Shopee reinvested in logistics and marketing. If competitive intensity from TikTok Shop and Temu persists, the margin recovery embedded in the base case arrives later than modeled.

Competitive Intensity in Commerce

Shopee leads across Southeast Asia, but TikTok Shop is scaling social commerce, Temu is pressing on price, and MercadoLibre defends Latin America. Share defense spending is a recurring claim on the commerce margin pool.

Garena Single-Franchise Concentration

Garena results still rest heavily on Free Fire. Bookings growth has already normalized from 51.1% in Q3 2025 to 15.5% in Q2 2026, and a franchise fade would remove the cash engine that funds group reinvestment.

Regulatory and FX Exposure

Sea operates under payments, lending, and e-commerce regulation across Indonesia, Vietnam, Thailand, the Philippines, Malaysia, Singapore, Taiwan, and Brazil. Local currency depreciation flows straight into reported USD results, and lending caps or payments rules can change unit economics quickly.

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The strengths

Operating Quality

Wide-moat ecosystem with a 44.7% group gross margin and a $6.88B net cash position, held back by a group operating margin of only 8.7% in the current reinvestment phase.

Recent Trend

Revenue growth re-accelerated to 48.1% in Q2 2026 with GMV up 28.4%, while EBITDA margin compressed and Garena bookings growth normalized to 15.5%.

Forward Growth

Shopee guides to around 25% GMV growth for 2026, Monee is compounding at near 60% revenue growth, and Brazil plus monetization depth give a long runway.

Valuation

At $74.63 the base case of $79.81 offers 7% upside, and the reverse DCF shows the market pricing in about 9% five-year revenue growth at the bridge-derived mature FCF margin, just below the bear case growth rate, while reported revenue compounds near 40%.

Cascadia scorecard

Composite score 68: Attractive. Confidence High, as of 23-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Wide-moat ecosystem with a 44.7% group gross margin and a $6.88B net cash position, held back by a group operating margin of only 8.7% in the current reinvestment phase.	68
Recent Trend	Revenue growth re-accelerated to 48.1% in Q2 2026 with GMV up 28.4%, while EBITDA margin compressed and Garena bookings growth normalized to 15.5%.	62
Forward Growth	Shopee guides to around 25% GMV growth for 2026, Monee is compounding at near 60% revenue growth, and Brazil plus monetization depth give a long runway.	70
Valuation	At $74.63 the base case of $79.81 offers 7% upside, and the reverse DCF shows the market pricing in about 9% five-year revenue growth at the bridge-derived mature FCF margin, just below the bear case growth rate, while reported revenue compounds near 40%.	75
Catalysts & Risk	Q3 earnings and Monee listing optionality are live catalysts, balanced against an untested credit book and regulatory breadth across eight-plus markets.	60

Investment view

Sustained Shopee take-rate expansion with Monee credit costs contained would move the equity toward the bull case. A credit accident in the loan book or a Shopee share loss in core Southeast Asian markets would break the thesis and force a full model reset.

Investment view: Hold. The $84.41 blended target implies +13%, balancing the $48.20 / $79.81 / $129.84 Bear / Base / Bull outcomes.

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